

Title: PowerCo SME Churn Analysis: Key Findings & Data Augmentation

SUMMARY:

Key Findings:

- **Balanced Churn:** The balance of churns in the SME segment is moderate.
- **Usage Skews:** Usage as well as the forecasted usage data have distributions that are skewed, indicating either outliers or dispersed consumption patterns.
- **Weaker Price Relationship:** Preliminary analysis shows no strong relationship of price sensitivity measured in terms of percentage changes of variable price as well as the price per usage with customer churn.
- **Temporal Insights:** Customer sign-up and contract end dates analysis gives insights into customer acquisition and contract trends.

Data Augmentation Suggestions:

Client-Provided Data:

- **Competitor Pricing:** Essential for PowerCo's pricing benchmarking against market rates.
- **Customer Interaction:** Call records, complaint history, and website/portal usage to measure customer satisfaction.
- **Detailed Demographics:** Industry type, business size, and location for focused analysis.
- **Contract Details:** More detailed contract information, including contract duration, and specific terms.

Open-Source Datasets:

- **Economic Indicators:** Inflation rates, GDP, and industry-specific indexes to gauge market effect.
- **Industry Benchmarks:** Public reports and data about energy consumption and price trends.
- **Weather Data:** Past weather patterns to determine seasonal energy usage.
- **Geospatial Data:** Business locations and demographic data to examine regional trends.